

**Chief General Manager**  
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MRD/DoP/MF/Cir-08/2008  
April 03, 2008

1. All Mutual Funds registered with SEBI
2. Association of Mutual Funds of India (AMFI)

Dear Sir / Madam,

**Sub:- Exemption from mandatory requirement of PAN**

1. Please refer to SEBI circular No. MRD/DoP/Cir- 05/2007 dated April 27, 2007 on the captioned subject.
2. As you may be aware, SEBI vide circular Nos. MRD/DoP/Dep/Cir-09/06 and MRD/DoP/SE/Cir-13/06 dated July 20, 2006 and September 26, 2006 exempted investors residing in the state of Sikkim from the mandatory requirement of PAN for the purpose of opening/operating Beneficial Owner (BO) accounts with depository participants and for the purpose of trading in cash market respectively.
3. In the light of the representations received regarding similar exemption for investments in mutual funds, it has been decided to exempt investors residing in the state of Sikkim from the mandatory requirement of PAN for their investments in mutual funds also. However, this would be subject to the mutual funds verifying the veracity of the claim of the investors that they are residents of Sikkim, by collecting sufficient documentary evidence. Mutual Funds are also advised to ensure strict compliance with the applicable 'Know Your Client' norms.
4. This circular is being issued in exercise of powers conferred under Section 11 (1) of the Securities and Exchange Board of India Act, 1992 to protect the interests of investors in securities and to promote the development of, and to regulate the securities market.

Yours faithfully,

**S V Murali Dhar Rao**